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Unfavourable oil and US rate dynamics

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Market Highlights

Brent crude surged to around US\$120/bbl, supporting USD strength, after President Trump reportedly rejected Iran's proposal to reopen the Strait of Hormuz. The US dollar remained supported in the 98.00–99.00 range, underpinned by a further rise in US yields that has reinforced the carry appeal of the dollar. The US 2 year yield climbed around 11bp to 3.95%, while the 10 year yield rose roughly 8bp to 4.43%.

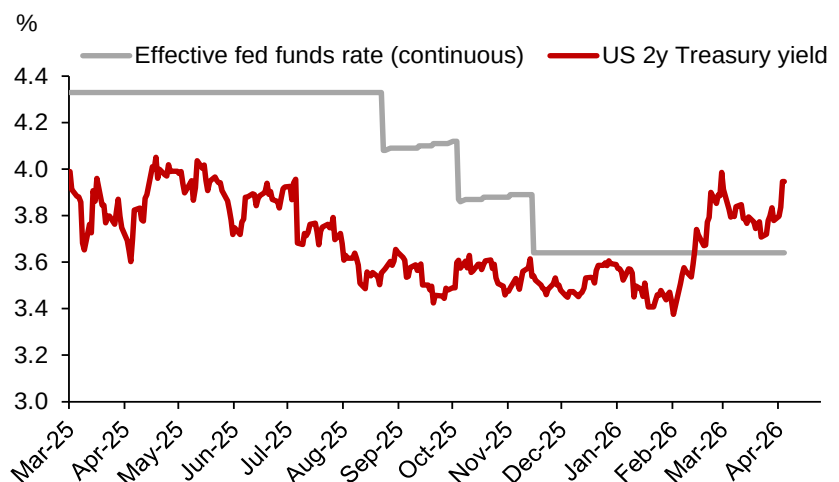
Fed messaging has further reinforced this hawkish repricing of rates. While policy rates were left unchanged as widely expected, dissent from three committee members against signalling an easing bias in policy statement highlights growing unease over inflation risks. Chair Powell's decision to remain on the Fed's Board of Governors after his Chair term ends in May also removes the immediate scope for President Trump to reshape the Board. At the same time, Trump's preferred Fed Chair candidate, Kevin Warsh, cleared a key Senate hurdle to replace Powell.

From a macro perspective, today's US PCE inflation release could keep the dollar firm. US gasoline prices have surged to around US\$4.84/gallon from pre conflict levels near US\$3.50, adding to near term inflation pressures. With markets looking for March PCE inflation to rise to around 3.5%yoy from 2.8% previously, the risk skew remains toward a hawkish repricing of US rates, keeping dollar supported in the near term..

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CHART 1: US RATES ROSE ON INFLATION CONCERNS



Source: Bloomberg, MUFG GMR

Ahead Today

G3: US personal income, initial jobless claims, PCE inflation, Q1 GDP, leading index; eurozone CPI and Q1 GDP, ECB policy rate decision

Asia: Philippines trade data, China PMI, Singapore unemployment rate, Thailand bop, Taiwan Q1 GDP

Asian currencies weakened against the dollar, with losses led by KRW (-1.1%), THB (-0.6%), and PHP (-0.5%) as oil prices continue to trade higher. With US and Iran locked in a prolonged standoff, the continued disruption to energy flows through the Strait of Hormuz are pushing up oil prices, adding downward pressure on oil-sensitive regional currencies. PHP and THB will remain vulnerable, given their high correlation with oil prices, while unfavourable fiscal-energy dynamics for Indonesia continues to weaken the rupiah. More credible signs of de-escalation are needed to ease depreciation pressures.

USDCNH rebounded to 6.84-6.85 level, after nearly falling to the 6.80 level. The PBOC has set broadly steady USDCNY fixings since mid April, signalling a preference for near term stability in the yuan following roughly a year of broad appreciation.

USDTHB rose to around 32.70, retesting the 32.50–33.00 range. The baht's weakness reflects Thailand's high reliance on crude imports, with roughly 60% sourced from the Middle East. The Bank of Thailand kept its policy rate unchanged at 1%, in line with expectations, while flagging a slowdown in growth to 1.5% this year from 2.4% in 2025. Headline inflation is projected to average 2.9% this year, compared with -0.1%yoy in March, implying a further erosion of real rates and weighing on THB's relative appeal.

INDICATIVE RATES 29-Apr-2026

FOREIGN EXCHANGE

	<u>Asia</u>	<u>% Chg</u>	<u>London close 6pm</u>	<u>New York close 5pm</u>		<u>Close</u>	<u>% Chg</u>	
USDJPY	159.78	0.19	160.31	160.41	INDU	48861.81	-0.57	
EURJPY	186.88	0.16	187.25	187.21	NKY	Closed		
EURUSD	1.1700	-0.02	1.1685	1.1677	DAX	23954.56	-0.27	
GBPUSD	1.3499	-0.04	1.3481	1.3475	UKX	10213.11	-1.16	
USDSGD	1.2778	0.14	1.2808	1.281	STI	4860.97	-0.55	
USDTHB	32.678	0.61	32.786	32.777	SET	1491.74	0.78	
USDMYR	3.9518	-0.04	OTHER INDICATORS			KLCI	1720.42	-0.53
USDIDR	17290	0.38	DXY Curncy	98.961	JCI	7101.23	0.41	
USDPHP	61.572	0.51			PSEI	5907.89	0.70	
USDINR	94.8500	0.32	GT2 Govt	3.950	SENSEX	77496.36	0.79	
USDKRW	1488.70	1.08	GT10 Govt	4.431	KOSPI	6690.90	0.75	
USDTWD	31.566	0.12	GTJPY2Y Govt	1.368	TWSE	39303.50	-0.55	
AUDUSD	0.7156	-0.31	GTJPY10Y Govt	2.464	AS51	8686.99	-0.27	
USDHKD	7.8368	0.01	GTDEM10Y Govt	3.109	HSI	26111.84	1.68	
USDCNY	6.8329	-0.05	CO1 Comdty	118.03	SHCOMP	4107.51	0.71	
USDVND	26351	0.02	XAU Curncy	4547.95	VNINDEX	1854.10	-1.16	

FX estimated closing. % Chg & bps chg indicate daily changes versus prior trading day. Sources: Bloomberg

* As of 4:30pm, Beijing Time

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